

FLUMENX OS — Accounting Standard Operating Procedures

Module: Finance & Accounting (/accounting)

Compliance: Ind AS & GAAP Strict Double-Entry

Audience: Accountants, Finance Officers, Auditors

Version: 2.4.0 (2026 Production)

1 Core System Architecture & Financial Data Flow

FLUMENX OS operates on a strict, synchronized double-entry accounting engine. Money entering or leaving the agency is tracked through dedicated sub-ledgers and automatically posted to the general ledger.



Three Inviolable Principles Enforced by the System

1. **Zero Discrepancy Invariant:** No journal voucher or transaction can be posted unless **Total Debits = Total Credits** down to the exact cent (difference < ₹0.01).
2. **Audit Immutability & Reversals:** Posted journals cannot be edited or silently deleted. If a mistake occurs, the accountant clicks **Reverse** to generate an exact counter-entry with mandatory audit notes.
3. **Sub-Ledger Integration:** Customer invoices and vendor bills must be created inside their respective modules (not as loose journal vouchers) to ensure Trade Debtors, Trade Creditors, and Aging schedules remain accurate.

2 Navigation & Tab Functionality Guide

Open the portal and select **Accounting & Finance** from the sidebar menu, or access URL /accounting. The page contains 9 dedicated modules:

Tab Name	Primary Purpose	Action Items for the Accountant
1. Dashboard	Executive financial overview	Check cash in hand, operating bank balances, outstanding client receivables, pending vendor payables, and quick action shortcuts.
2. Chart of Accounts	Master ledger tree & account directory	Create and inspect Asset (1xxx), Liability (2xxx), Equity (3xxx), Revenue (4xxx), and Expense (5xxx) ledger accounts.
3. General Ledger	Chronological ledger book	Select any specific account to inspect opening balances, debits, credits, running balances, and export CSV ledger sheets.
4. Journal Vouchers	Manual double-entry postings	Record multi-line capital contributions, month-end adjustments, depreciation write-offs, and perform audited voucher reversals.
5. Sales & Invoicing	Client receivables (A/R)	Issue GST invoices, monitor unpaid bills, record customer NEFT/RTGS/UPI receipts, and allocate payments to invoices.
6. Purchases & Bills	Vendor payables (A/P)	Log vendor supplier bills, claim GST Input Tax Credit (ITC), process payments from company bank, and settle vendor dues.
7. Expenses	Direct spend & petty cash	Quick entry for operational disbursements (team refreshments, travel, stationery, SaaS software) without creating full vendor bills.
8. Banking & Treasury	Bank accounts & reconciliation	Track bank accounts, log netbanking transactions, and perform weekly bank reconciliations against bank statement balances.
9. Financial Reports	Statutory statements & analytics	Generate real-time Balance Sheet, Profit & Loss (P&L), Trial Balance, and Accounts Receivable / Payable Aging schedules.

3 Chart of Accounts (COA) Architecture

Every account code is assigned a 4-digit number indicating its financial category, natural balance side, and reporting behavior:

Code Range	Category	Normal Nature	Allowed Subtypes	Pre-Seeded Control Accounts
1000 – 1999	ASSETS	DEBIT (DR)	CASH, BANK, ACCOUNTS_RECEIVABLE, CURRENT_ASSET, FIXED_ASSET	1110 Cash in Hand 1120 Petty Cash 1130 HDFC Bank - Main Operating 1140 Trade Debtors (A/R) 1210 Computer Hardware
2000 – 2999	LIABILITIES	CREDIT (CR)	ACCOUNTS_PAYABLE, CURRENT LIABILITY, PAYROLL_PAYABLE, TAX_PAYABLE, LOAN	2110 Trade Creditors (A/P) 2120 Net Salaries Payable 2130 PF Payable 2145 TDS Payable 2150 GST Output Tax Payable (18%)
3000 – 3999	EQUITY	CREDIT (CR)	CAPITAL, RETAINED_EARNINGS, EQUITY	3010 Owner's / Paid-up Capital 3020 Retained Earnings 3030 Current Year Net P&L
4000 – 4999	REVENUE	CREDIT (CR)	SERVICE_REVENUE, DIRECT_REVENUE, OTHER_INCOME	4010 Web Development Revenue 4020 Video Production Revenue 4030 Digital Marketing Revenue 4090 Other Operating Income / Interest
5000 – 5999	EXPENSES	DEBIT (DR)	DIRECT_EXPENSE, EMPLOYEE_EXPENSE, OFFICE_EXPENSE, TECH_EXPENSE	5110 Freelancer & Contractor Fees 5210 Salaries & Wages 5310 Office Commercial Rent 5410 Cloud Infrastructure & Hosting 5420 SaaS Software Subscriptions

Protected System Accounts vs. Custom Accounts

Accounts with `isSystemAccount = true` (like 1130 Bank, 1140 Debtors, 2110 Creditors, 2120 Payroll, 2150 GST) are locked from deletion because the billing and payroll engines post to them automatically. You can add as many custom accounts as needed (e.g., individual partner capital accounts, specific project expense codes, secondary bank accounts) by clicking "+ Add New Account".

Special Balance Rule: Contra Accounts

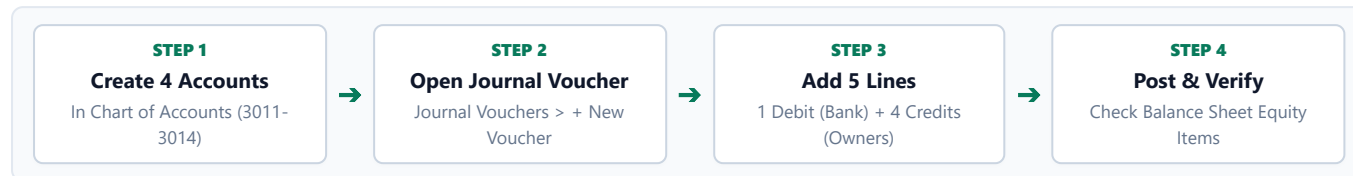
Accounts such as 1215 Accumulated Depreciation - Computers and 1225 Accumulated Depreciation - Furniture reside in the 1000s (Assets) but carry a natural **CREDIT** balance. This reduces the net carrying value of fixed assets directly on the Balance Sheet.

4 Detailed Standard Operating Procedures (SOP)

SOP 1: Recording Capital Injections for Four Owners / Partners

EQUITY TRANSACTION

To record capital introduced by the four owners into the business bank account with clean, independent tracking on the Balance Sheet:



Step 1: Set up dedicated capital accounts in Chart of Accounts

- Go to **Chart of Accounts** > click "+ Add New Account".
- Create 3011: Name Owner 1 - Capital Account | Type: EQUITY | Subtype: CAPITAL | Nature: CREDIT
- Create 3012: Name Owner 2 - Capital Account | Type: EQUITY | Subtype: CAPITAL | Nature: CREDIT
- Create 3013: Name Owner 3 - Capital Account | Type: EQUITY | Subtype: CAPITAL | Nature: CREDIT
- Create 3014: Name Owner 4 - Capital Account | Type: EQUITY | Subtype: CAPITAL | Nature: CREDIT

Step 2: Post the Compound Balanced Journal Voucher

VOUCHER DATE	VOUCHER TYPE	REFERENCE #
2026-09-30 (or actual bank receipt date)	Manual Journal (JOURNAL)	UTR-CAP-2026-01 / Wire Reference
NARRATION / DESCRIPTION		
Initial equity capital contribution injected by the four founding owners into HDFC Operating Bank		

Step 3: Line Item Allocations (Debits & Credits Table)

Account	Line Description	Debit (Dr)	Credit (Cr)
1130 HDFC Bank - Main Operating	Total capital funds deposited into bank account	₹ 20,00,000.00	₹ 0.00
3011 Owner 1 - Capital Account	Equity capital contribution - Owner 1 (25% share)	₹ 0.00	₹ 5,00,000.00
3012 Owner 2 - Capital Account	Equity capital contribution - Owner 2 (25% share)	₹ 0.00	₹ 5,00,000.00
3013 Owner 3 - Capital Account	Equity capital contribution - Owner 3 (25% share)	₹ 0.00	₹ 5,00,000.00
3014 Owner 4 - Capital Account	Equity capital contribution - Owner 4 (25% share)	₹ 0.00	₹ 5,00,000.00
TOTAL POSTING (STATUS: BALANCED • ZERO DISCREPANCY)		₹ 20,00,000.00	₹ 20,00,000.00

* Note: If each owner wires funds on different dates, create 4 separate vouchers (1 Debit to Bank & 1 Credit to that owner's capital account for each transfer).

SOP 2: Client Invoicing & Payment Collection (Sales / Trade Debtors)

RECEIVABLES LIFECYCLE

Phase A: Issuing Client Invoice (Billing)

1. Navigate to **Sales & Invoicing** tab > click "+ New Invoice".
2. Select Client from dropdown, set **Invoice Date**, **Due Date**, and PO Reference.
3. Add line item: Item Description, select Revenue Account (4010 Web Development Revenue), Quantity: 1, Unit Price: ₹ 1,00,000.00, Tax: GST 18%.
4. Click **Create & Post Invoice**.

System Double-Entry Posted Automatically:

Account	Nature & Role	Debit (Dr)	Credit (Cr)
1140 Accounts Receivable (Trade Debtors)	Asset (Client owes full invoice amount)	₹ 1,18,000.00	₹ 0.00
4010 Web Development Services Revenue	Revenue (Income earned before taxes)	₹ 0.00	₹ 1,00,000.00
2150 GST Output Tax Payable (18%)	Liability (Tax collected on behalf of Government)	₹ 0.00	₹ 18,000.00

Phase B: Recording Customer Receipt (Payment Collection)

1. When client remits payment, go to **Sales & Invoicing** > click "+ Record Receipt".
2. Select Client, Deposit Account (1130 HDFC Bank), Payment Mode (BANK_TRANSFER / UPI), Amount (₹ 1,18,000.00), and UTR Reference.
3. Allocate payment to the pending invoice number. Click **Record Receipt**.

System Double-Entry Posted Automatically:

Account	Nature & Role	Debit (Dr)	Credit (Cr)
1130 HDFC Bank - Main Operating	Asset (Bank balance increased)	₹ 1,18,000.00	₹ 0.00
1140 Accounts Receivable (Trade Debtors)	Asset (Client receivable cleared to zero)	₹ 0.00	₹ 1,18,000.00

SOP 3: Vendor Bills & Payments with GST Input Credit (Purchases / A/P)

PAYABLES LIFECYCLE

Phase A: Booking a Vendor Bill (e.g., AWS Cloud Hosting ₹50,000 + 18% GST ₹9,000)

1. Navigate to **Purchases & Bills** > click "+ New Vendor Bill".
2. Select Vendor (or add new vendor with GSTIN), enter **Vendor Bill #**, **Bill Date**, and **Due Date**.
3. Add line item: select Expense Account 5410 Cloud Infrastructure & Web Hosting, Amount: ₹ 50,000.00, Tax: GST 18%. Click **Save & Post Bill**.

System Double-Entry Posted Automatically:

Account	Nature & Role	Debit (Dr)	Credit (Cr)
5410 Cloud Infrastructure & Web Hosting	Expense (Operating Cost on P&L)	₹ 50,000.00	₹ 0.00
2155 GST Input Tax Credit (ITC)	Asset (Tax paid to vendor, eligible for tax offset)	₹ 9,000.00	₹ 0.00
2110 Accounts Payable (Trade Creditors)	Liability (Total money owed to vendor)	₹ 0.00	₹ 59,000.00

Phase B: Processing Vendor Payment via Netbanking

1. In **Purchases & Bills**, click "+ Record Payment".
2. Select Vendor, Paying Account (1130 HDFC Bank), Amount: ₹ 59,000.00, Reference: Cheque / UTR #. Match to bill.
3. Click **Record Payment**.

Auto-posting: **Dr. 2110 Trade Creditors (₹59,000.00)** | **Cr. 1130 Bank Account (₹59,000.00)**. Bill status updates to **PAID**.

SOP 4: Direct Operational Expenses & Petty Cash Disbursements

QUICK SPEND

For minor routine expenses that do not require full vendor bills (courier, tea/coffee pantry, software licenses, travel):

- 1. Navigate to **Expenses** tab > click **" + Record Expense"**.
- 2. Select **Category**: e.g. OFFICE_EXPENSE, TECH_EXPENSE, SALES_EXPENSE.
- 3. Select **Expense Account**: e.g. 5230 Employee Welfare & Refreshments or 5420 SaaS Software Subscriptions.
- 4. Select **Paid From (Source Account)**:
 - 1120 Petty Cash — If paid using cash from the office cash box.
 - 1130 HDFC Bank — If paid using corporate debit/credit card or UPI.
- 5. Enter Amount, Tax Amount (if GST receipt available), Title, and Merchant note. Click **Save Expense**.

Auto-posting: **Dr. Relevant Expense Account (5xxx)** | **Cr. Paid From Account (1120 or 1130)**.

SOP 5: Monthly Salary Accrual & Payout with Statutory Deductions

PAYROLL ACCOUNTING

Salaries must be accrued on the last day of the month via a balanced Journal Voucher, reflecting gross salary and statutory deductions:

Entry 1: Month-End Payroll Accrual (Last Day of Month)

VOUCHER TYPE	DATE	NARRATION
ADJUSTMENT or JOURNAL	Month-End (e.g. 2026-09-30)	Monthly agency employee payroll accrual and statutory withholdings

Account	Line Description	Debit (Dr)	Credit (Cr)
5210 Salaries & Wages	Gross total base salaries and allowances for the month	₹ 5,00,000.00	₹ 0.00
2130 Provident Fund (PF) Payable	Employee statutory PF deductions withheld	₹ 0.00	₹ 24,000.00
2145 TDS Payable	Income tax withheld under Section 192B	₹ 0.00	₹ 15,000.00
2140 Professional Tax (PT) Payable	State professional tax deduction	₹ 0.00	₹ 2,500.00
2120 Payroll Payable (Net Salaries)	Net take-home salaries owed to employee bank accounts	₹ 0.00	₹ 4,58,500.00
TOTAL ACCRUAL (BALANCED: ZERO DISCREPANCY)		₹ 5,00,000.00	₹ 5,00,000.00

Entry 2: Salary Disbursement on Salary Day (1st of Next Month)

When the salary batch is transferred via corporate netbanking:

Account	Line Narration	Debit (Dr)	Credit (Cr)
2120 Payroll Payable (Net Salaries)	Discharge of net salary obligations to employees	₹ 4,58,500.00	₹ 0.00
1130 HDFC Bank - Main Operating	Corporate netbanking batch salary disbursement	₹ 0.00	₹ 4,58,500.00

* Statutory deductions (PF, TDS, PT) remain in liabilities (2130, 2145, 2140) until paid to the government challan portals by the 7th/15th of the month.

SOP 6: Banking & Cash Contra Transfers

TREASURY

To transfer funds between company liquid accounts, post a JOURNAL voucher:

Transaction Type	Debit Entry (Dr)	Credit Entry (Cr)	Nature
Petty Cash Withdrawal	1120 Petty Cash (Cash box increases)	1130 HDFC Bank (Bank balance decreases)	Contra
Cash Deposit to Bank	1130 HDFC Bank (Bank balance increases)	1110 Cash in Hand (Cash balance decreases)	Contra
Inter-Bank Transfer	1131 Secondary Bank (Receiving bank increases)	1130 HDFC Bank (Source bank decreases)	Contra

SOP 7: Weekly Bank Reconciliation

INTERNAL CONTROL

At the end of every week or month, reconcile the general ledger bank balance with the official bank statement:

1. Navigate to **Banking & Treasury** tab > select the bank account (HDFC Bank).
2. Click "**Reconcile Account**".
3. Enter the **Statement Date** and the **Statement Ending Balance** directly from the bank's netbanking portal/PDF statement.
4. Review the list of unreconciled transactions. Check off each transaction that appears on the bank statement.
5. Check the real-time **Discrepancy** counter. When it reaches **₹ 0.00**, click "**Finalize Reconciliation**".

SOP 8: Error Corrections & Audited Reversals

AUDIT TRAIL

FLUMENX OS strictly forbids silent manual deletion of posted vouchers to prevent accounting fraud. If a voucher was posted with incorrect accounts or amounts:

1. Go to **Journal Vouchers** tab and locate the erroneous voucher.
2. Click the **Reverse (Undo arrow)** icon.
3. Enter the mandatory **Reversal Reason** (e.g. "*Duplicate bank charge entry - Ref UTR-9021*").
4. Confirm. The engine posts an exact counter-journal voucher, updates account balances, and logs the action into the permanent audit trail.

5 Statutory Financial Reports & Closing Checklists

Reports in the **Financial Reports** tab update in real time from posted journals without requiring manual month-end closing routines:

Report	What It Calculates	Accounting Proof / Inspection Check
1. Balance Sheet	Cumulative Assets, Liabilities, and Equity as of any selected date.	Verifies fundamental invariant: Assets = Liabilities + Equity. Automatically computes live Net Working Capital (Current Assets - Current Liabilities).
2. Profit & Loss (P&L)	Operational revenue vs direct costs and operating expenses over any period.	Calculates Gross Margin, Operating Profit, and Net Profit. Profit automatically flows into Current Year Net P&L (3030) in Equity.
3. Trial Balance	Master listing of all active account codes with opening, period debits/credits, and closing balances.	Mathematical proof of double-entry integrity. Total Debit column must equal Total Credit column exactly.
4. AR & AP Aging	Breakdown of unpaid invoices and supplier bills into 0-30, 31-60, 61-90, and 90+ day overdue buckets.	Controls debtor collection timelines and avoids vendor supply holds.

Monthly Accounting Closing Checklist

- 1. Verify Trial Balance:** Ensure Total Dr = Total Cr and inspect any unexpected debit/credit balances.
- 2. Finalize Bank Reconciliation:** Reconcile all bank and cash drawers to zero discrepancy.
- 3. Post Month-End Adjustments:** Accrue monthly employee salaries, office rent, and fixed asset depreciation.
- 4. Reconcile GST Accounts:** Offset 2155 GST Input Credit (ITC) against 2150 GST Output Payable before filing GSTR-3B.
- 5. Export Audit CSVs:** Download monthly General Ledger and Trial Balance CSVs for company records and tax filing.

Accountant Golden Rules

- 1. Never post client invoices or vendor bills via manual journals** — always use *Sales & Invoicing* and *Purchases & Bills* to ensure sub-ledgers, GST registers, and aging reports stay synchronized.
- 2. Always include external reference numbers** (UTR, Cheque #, Vendor Bill #) and comprehensive narrations for audit trails.
- 3. Perform weekly bank reconciliations** every Friday in the *Banking & Treasury* tab to match netbanking statement closing balances with the general ledger.